

Chapter 6 - International Parity Conditions

Prof. Barker

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1 Introduction

1.1 Prices and Exchange Rates

1.1.1 Law of One Price

1.1.2 Purchasing Power Parity

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1.2.1 Fisher Effect

1.2.2 International Fisher Effect

1.3 Forward Rate as an Unbiased Predictor

1.4 Prices, Interest Rates, and Exchange Rates in Equilibrium